Best's Credit Rating Effective Date
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Information

Best's Credit Rating Methodology

Guide to Best's Credit Ratings

Market Segment Outlooks

Financial Data Presented

Financial data in this report: (i) includes data of affiliated entities that are not rating unit members where analytics benefit from inclusion; and/or (ii) excludes data of rating unit member entities if they operate in different segments or geographic areas than the Rating Unit generally. See list of companies for details of rating unit members and any such included and/or excluded entities.

The financial data in this report reflects the most current data available to the Analytical Team at the time of the rating. Updates to the financial exhibits in this report are available here: Best's Financial Report.

Globe Life Group

AMB #: 070443
Associated Ultimate Parent: AMB # 058103 - Globe Life Inc.

Best's Credit Ratings - for the Rating Unit Members

Financial Strength Rating (FSR)	Issuer Credit Rating (ICR)
A	**a+**
Excellent	**Excellent**
Outlook: **Stable**	Outlook: **Stable**
Action: **Affirmed**	Action: **Affirmed**

Assessment Descriptors

Balance Sheet Strength	**Strong**
Operating Performance	**Very Strong**
Business Profile	**Favorable**
Enterprise Risk Management	**Appropriate**

Rating Unit - Members

Rating Unit: Globe Life Group | AMB #: 070443

AMB #	Rating Unit Members	AMB #	Rating Unit Members
006069	American Income Life Ins Co	006629	Liberty National Life Ins Co
068197	Family Heritage Life of Amer	060343	National Income Life Ins Co
006462	Globe Life And Accident Ins Co	007161	United American Insurance Co
009412	Globe Life Ins Co of New York		

Rating Rationale

Balance Sheet Strength: Strong

- The risk-adjusted capitalization of Globe Life Group (Globe Life) has been assessed within the strong category, as measured by Best's Capital Adequacy Ratio (BCAR), and year-end capital and surplus increased year over year.
- Liquidity profile is enhanced by strong cash flows, Federal Home Loan Bank (FHLB) lending, and a robust commercial paper program backed by a high-quality bank line of credit.
- Reinsurance reliance is minimal as Globe Life issues low-face amount policies. Reinsurance utilizes high-quality carriers.
- Long track record of increasing invested assets and stable allocation. The investment portfolio is managed on a consolidated basis and is primarily allocated to investment-grade bonds (evenly split between Class 1 & 2) with an increasing allocation to Schedule BA assets. Also, the group's high-risk assets to capital and surplus ratio is comparatively higher than its peers.

Operating Performance: Very Strong

- Statutory return metrics are consistently very strong. All return measures consistently perform above the benchmark. GAAP metrics are comparable to peers.
- Investment performance is consistent and more than offsets underwriting losses to regularly achieve positive operating gains.
- Favorable premium growth with net premiums as of year-end 2024 of $4 billion. Roughly three-quarters of premium income is attributable to the life business, and one-quarter of premium income is attributable to the health business.
- Life insurance segment's underwriting margin increased across most subsidiaries primarily due to higher premium volumes and reduced net claims. Health underwriting margin has marginally decreased due primarily to increased policy obligations. Overall underwriting income increased year over year.

Business Profile: Favorable

- Globe Life provides life and health insurance coverage and financial security through multiple divisions with a diverse product offering of ordinary life insurance, Medicare supplement and other supplemental health products.
- Significant distribution platform including exclusive, non-exclusive agents and direct-to-consumer distribution channels. Strategic growth of the agency force leads to sales growth, while high-quality business leads to better margins.
- Top-line growth is highly dependent upon increasing agent count.
- Globe Life is diversified both geographically and from a product standpoint. A wide selection of low-risk products is offered in numerous states.

Enterprise Risk Management: Appropriate

- Globe Life's ERM program is considered developed and continues to evolve with the formation of pertinent risk reporting groups that allow the program to penetrate varying levels within the organization.
- Globe Life performs three annual risk assessments including emerging risks, high-level survey, and strategic risks. Stress testing is conducted under different scenarios on all core risks including credit risk, mortality risk, information security risk, regulatory risk, asset-liability management risk, and liquidity risk.
- Structural risk governance and working groups continue to be embedded into the ERM framework. Program documentation and relevant guidelines such as COSO are utilized to increase overall standardization of the ERM program.

Outlook

- The stable outlooks reflect the expectation that Globe Life will maintain a balance sheet strength assessment in the strong category supported by a strong level of risk-adjusted capitalization, as measured by BCAR, and a continuation of very strong operating performance.

Rating Drivers

- Negative rating action may occur if there is a sustained unfavorable trend in balance sheet metrics.
- Negative rating action may occur if there is a significant decline in operating performance.

- Though seen as unlikely, positive rating action may occur if there is a sustained trend of favorable balance sheet metrics.

Key Financial Indicators

Best's Capital Adequacy Ratio (BCAR) Scores (%)

Confidence Level	95.0	99.0	99.5	99.6
BCAR Score	33.8	15.2	8.4	6.6

Source: Best's Capital Adequacy Ratio Model - L/H, US

Key Financial Indicators USD (000)	6-Months 2025	6-Months 2024	Year End - December 31 2024	2023	2022	2021	2020
Assets:							
General Account	23,785,226	23,614,618	23,485,534	23,101,919	22,255,910	21,497,798	20,494,573
Total	23,785,226	23,614,618	23,485,534	23,101,919	22,255,910	21,497,798	20,494,573
Liabilities:							
Net Life Reserves	17,487,436	18,086,856	17,648,445	17,796,510	17,214,515	16,604,789	15,983,135
Net Accident & Health Reserves	2,922,874	2,704,101	2,815,427	2,601,547	2,404,249	2,224,732	2,049,210
Liability for Deposit Contracts	492,142	400,622	468,595	236,958	123,130	99,400	98,334
Asset Valuation Reserve	280,010	252,180	260,689	244,246	255,356	252,137	199,944
Other General Account	1,174,304	843,439	681,823	673,806	737,928	904,810	867,016
Total	22,356,766	22,287,197	21,874,979	21,553,067	20,735,177	20,085,867	19,197,639
Total Capital and Surplus	1,428,459	1,327,421	1,610,555	1,548,853	1,520,733	1,411,931	1,296,935
Net Income	329,285	244,539	695,722	434,952	444,294	373,701	441,589
Net Premiums Earned	1,669,099	2,262,660	4,033,442	4,334,549	4,186,579	3,867,600	3,705,160
Net Investment Income	525,486	532,098	1,074,984	990,603	965,213	906,611	877,028

Source: BestLink® - Best's Financial Suite

Key Financial Ratios (%)	6-Months 2025	6-Months 2024	Year End - December 31 2024	2023	2022	2021	2020	Weighted Average
Operating Return on Revenue	12.9	8.7	13.5	9.6	8.4	7.4	9.6	9.7
Operating Return on Capital and Surplus	43.1	34.1	44.3	33.7	30.1	27.6	35.8	34.5
Net Investment Yield	4.8	4.8	4.9	4.6	4.7	4.6	4.7	4.7
Pre-Tax Investment Total Return	4.8	4.7	4.7	4.2	4.3	4.8	4.5	4.5

Source: BestLink® - Best's Financial Suite

Leverage (%)	6-Months 2025	6-Months 2024	Year End - December 31 2024	2023	2022	2021	2020
General Account Liabilities to Capital and Surplus	15.7	16.8	13.6	13.9	13.6	14.2	14.8
Higher Risk Assets to Capital and Surplus:							
Mortgages Not in Good Standing	...	...	3.1	...	...	0.3	0.6
All Other Higher Risk Assets	191.3	175.1	155.8	136.4	135.4	165.3	156.7

Source: BestLink® - Best's Financial Suite

Liquidity Analysis	6-Months 2025	6-Months 2024	Year End - December 31 2024	2023	2022	2021	2020
Current Liquidity (%)	82.7	84.6	84.1	86.8	87.4	87.6	88.9
Net Operating Cash Flow USD (000)	450,804	686,039	919,176	1,328,777	1,336,706	1,226,295	1,378,663

Source: BestLink® - Best's Financial Suite

Credit Analysis

Balance Sheet Strength

Capitalization

Globe Life Group's risk-adjusted capitalization has been assessed within the strong category as measured by Best's Capital Adequacy Ratio (BCAR) for year-end 2024. The NAIC Risk- Based Capital (RBC) of the life group is targeted between 300% and 320%. As of year-end 2024, consolidated RBC was 316%. Year-end capital & surplus increased from 2023 to 2024 and is supportive of the group's capital assessment. Statutory capital for the group for 2024 and 2023 was $1.61 billion and $1.55 billion, respectively. Capital is managed through the deployment and investment of assets which supports the group's financial management processes and are appropriate for the risk profile of the group's insurance liabilities.

Significant dividend payments from the subsidiaries within the Globe Life Group upstream to the parent company has hampered the capital growth of some of the subsidiaries and at times led to comparatively low RBC ratios. Capital movements cause fluctuations in individual entity RBCs with a main focus on the overall RBC for the group. Consistent with the prior years, the RBC ratio of Globe Life was below target at 295% along with American Income at 290%, but overall capitalization among the subsidiaries has improved in general. For example, United American and Liberty National were both above target with an RBC ratio of 338% and 344%, respectively. Despite the fluctuations in capitalization, this movement of capital is in line with management's intentions as management expects that the ultimate parent is better positioned to deploy excess capital. Therefore, the organization exercises its capital management strategy at the holding company level. Dividend proceeds are typically disbursed to service debt and pay shareholder dividends and amounts are consistent with prior periods.

In regard to liquidity, Globe Life has consistently generated strong liquidity metrics, including strong short and long-term ratios per the AM Best Stress Liquidity model, as well as substantial net cash from operations. Additionally, Globe Life Inc. maintains strong financial flexibility and has continued to demonstrate access to capital markets in order to raise capital. During 2024, Globe Life issued net $100 million of commercial paper as part of the commercial paper program. Financial leverage is moderate but remains with AM Best's tolerance levels for its balance sheet strength assessment. Globe Life's unadjusted financial leverage ratio has remained relatively flat in recent years. AM Best notes that the organization has shown solid debt service coverage levels over the years, resulting in the corporation remaining appropriately capitalized for its insurance and investment risks relative to its rating. AM Best believes that Globe Life Inc. has access to sources of liquidity and financial flexibility if conditions in the financial markets were to deteriorate. Therefore, AM Best concludes that Globe Life Inc. has sufficient liquidity to meet unexpected, large cash needs.

AM Best notes that senior management has been active in implementing its capitalization plan to get each subsidiary within the Globe Life Group closer to the organization's consolidated RBC target. The capitalization plan included having co-insurance agreements and the issuance of internal surplus notes to bolster its capitalization. As a result, there is heavy use of intercompany surplus notes between the companies which are eliminated in our data consolidation and eliminated in our BCAR.

	6-Months		Year End - December 31				
Capital Generation Analysis USD (000)	**2025**	**2024**	**2024**	**2023**	**2022**	**2021**	**2020**
Beginning Capital and Surplus	1,610,555	1,548,853	1,548,853	1,520,733	1,411,931	1,296,935	1,286,901
Net Operating Gain	327,806	245,040	699,589	517,568	441,025	373,167	462,904
Net Realized Capital Gains (Losses)	1,480	-501	-3,867	-82,616	3,269	535	-21,315
Net Unrealized Capital Gains (Losses)	6,569	-11,815	-15,190	18,002	-12,405	25,285	-9,366
Net Change in Paid-In Capital and Surplus	...	...	5,998	-7,916	-38,868	138,807	-1,713
Stockholder Dividends	-376,919	-346,245	-644,689	-419,619	-329,155	-435,240	-412,153
Other Changes in Capital and Surplus	-141,031	-107,911	19,862	2,701	44,936	12,443	-8,322
Net Change in Capital and Surplus	-182,096	-221,431	61,702	28,120	108,802	114,996	10,034
Ending Capital and Surplus	1,428,459	1,327,421	1,610,555	1,548,853	1,520,733	1,411,931	1,296,935
Net Change in Capital and Surplus (%)	-11.3	-14.3	4.0	1.8	7.7	8.9	0.8
Net Change in Capital and Surplus (5 yr CAGR)	...	...	4.6	...	...	...	...

Source: BestLink® - Best's Financial Suite

Balance Sheet Strength (Continued...)

Asset Liability Management - Investments

The Chief Investment Officer of Globe Life Inc. has primary responsibility and control over the investment portfolios of the subsidiaries included within Globe Life Group as the portfolios are managed on a consolidated basis at the Holding Company. The portfolio is managed in such a way as to preserve capital and achieve target yield while maintaining a high level of liquidity within the portfolio.

Invested assets increased year-over-year. At year-end 2024, approximately 83% of the group's invested assets are bonds, with 3% in policy loans and the remainder in mortgage loans, other long-term investments, equities, cash & short-term, and Schedule BA assets. Schedule BA assets increased roughly 2% from 2023 to 2024. Bond holdings by asset type are Corporates (81%); Municipals (16%) and the balance is allocated to Government Sponsored Enterprises, Collateralized debt obligations (CDOs) and other Asset-Backed Securities based on fair value. As of 2024, over 97% of bonds are investment grade which is consistent with prior periods as the quality of the investment portfolio remains consistent with the investment profile of Globe Life Inc. However, AM Best notes that Globe Life is at an increased risk of credit downgrades as roughly half of the bond holdings are NAIC-2. Potential credit downgrades would result in higher risk-based capital charges which would ultimately strain the risk-adjusted capitalization. Below investment grade bonds remained virtually flat year-over-year. The equity position is less than 2% of invested assets and is represented by its investments in affiliated companies including the preferred stock of Globe Life Inc. as well as other affiliates.

The average maturity of the Globe Life Group's bond portfolio is just over 19 years. The portfolio average life to maturity has been relatively consistent for around a decade. Globe Life Group aims to match cash flows of assets and liabilities, which partially mitigates the risk of maintaining a longer duration investment portfolio. The fixed maturity portfolio may increase its unrealized loss position if interest rates rise as the bond portfolio has an average effective duration of 10.6 years.

	6-Months		Year End - December 31				
Composition of Cash and Invested Assets	**2025**	**2024**	**2024**	**2023**	**2022**	**2021**	**2020**
Total Cash and Invested Assets USD (000)	22,097,886	22,215,673	21,869,557	21,681,216	20,879,696	20,094,341	19,109,708
Composition Percentages (%)							
Unaffiliated:							
Cash and Short Term Investments	0.3	0.1	0.2	0.3	0.3	0.1	0.4
Bonds	81.8	83.3	82.5	84.6	85.1	86.1	87.6
Stocks	0.2	0.2	0.2	0.1	0.1	...	...
Mortgage Loans	2.1	1.6	1.8	1.3	0.9	0.7	0.9
Other Invested Assets	13.0	11.5	12.4	10.5	10.2	9.7	8.4
Total Unaffiliated	97.4	96.6	97.0	96.8	96.6	96.6	97.3
Investments in Affiliates	2.6	3.5	3.0	3.2	3.4	3.4	2.7
Non-Admitted	...	-0.2	...	...	...	...	...
Total	100.0	100.0	100.0	100.0	100.0	100.0	100.0

Source: BestLink® - Best's Financial Suite

	Years					
Bonds and Short Term Investments - Distribution by Maturity (%)	**0-1**	**1-5**	**5-10**	**10-20**	**20+**	**Average (Years)**
Government Bonds	0.1	0.1	0.1	0.2	0.1	11.1
Government Agencies and Municipal Bonds	0.1	0.5	2.1	4.9	12.5	20.0
Industrial and Miscellaneous Bonds	0.9	3.5	7.4	41.4	21.7	16.4
Hybrid Securities	...	0.8	1.3	0.6	0.9	12.3
Affiliated Bonds	...	...	0.8	...	...	7.5
Total Bonds	1.1	4.9	11.7	47.2	35.1	16.9

Source: BestLink® - Best's Financial Suite

Balance Sheet Strength (Continued...)

Bonds - Distribution by Issuer	Year End - December 31 2024	2023	2022	2021	2020
Bonds USD (000)	18,194,117	18,483,120	17,915,497	17,442,139	16,889,706
US Government (%)	0.1	0.2	0.2	0.2	0.3
Foreign Government (%)	0.3	0.2	0.3	0.3	0.3
Foreign - All Other (%)	16.1	16.9	16.9	16.8	17.5
State, Municipal & Special Revenue (%)	20.1	19.7	17.4	14.7	12.9
Industrial & Miscellaneous (%)	59.0	59.6	61.5	64.0	65.0
Hybrid Securities (%)	3.5	2.6	2.8	3.0	3.2
Affiliated (%)	0.8	0.8	0.8	0.9	0.9
Total Bonds (%)	100.0	100.0	100.0	100.0	100.0

Source: BestLink® - Best's Financial Suite

Holding Company Assessment

Globe Life Inc. is a publicly-traded financial services holding company which markets basic protection products through seven wholly-owned subsidiaries. Protection products primarily include life insurance and supplemental health insurance. Globe Life Inc. markets these insurance products using multiple distribution channels which include direct to consumer, exclusive agency and independent agency systems. Key operating subsidiaries include American Income Life Insurance Company (American Income), Globe Life And Accident Insurance Company (Globe Life), Liberty National Life Insurance Company (Liberty National), United American Insurance Company (United American) and Family Heritage Life Insurance Company of America (Family Heritage), which was acquired in 2012. The group benefits from expense advantages derived from the consolidation of some administrative, financial, investment and marketing functions among the insurance subsidiaries. In 2019, the enterprise rebranded itself, changing their name from the Torchmark Corporation to Globe Life Inc., which was part of the company's brand alignment strategy.

At year-end 2024, Globe Life Inc. reported consolidated revenues of approximately $5.78 billion, $29 billion of total assets and net income of $1.07 billion, compared to year-end 2023 reported consolidated revenues of about $5.45 billion, $28 billion of total assets and net income of $971 million.

Financial Leverage Summary - Holding Company	
Financial Leverage Ratio (%)	25.90
Adjusted Financial Leverage Ratio (%)	24.40
Interest Coverage (x)	11.72

Operating Performance

Statutory earnings have fluctuated to some degree at the subsidiaries. However, the overall group has reported favorable earnings. Statutory net operating gain for 2024 and 2023 was $700 million and $518 million, respectively. 2024 earnings were helped by continued top line growth as well as reduced net claims. Favorable underwriting margin increases stem from better mortality development and pricing updates. Most lines of business reported positive statutory pre-tax net operating gains over the past five years. Individual Life continues to contribute more than half of pre-tax net operating gains followed by Individual Accident & Health which contributes a little less than one-quarter. The remaining lines of business are less significant contributors but are not a drag to earnings. The primary contributing subsidiaries are American Income, Liberty National and Globe Life Insurance Company.

Premium revenues generally increased and underwriting results have been favorable over the years, especially within American Income which accounts for roughly half of total underwriting margin as of December 31, 2024. At year-end 2024, total net underwriting loss decreased about 56% from the prior year primarily driven by the decline in net claims. Top-line growth is highly dependent on agent count and increases or decreases in growth are directly attributable to agent count in Globe Life's exclusive career agency channels including Liberty National, American Income, and Family Heritage. Total direct premiums increased substantially from 2023 to 2024 as total agent count increased at all major subsidiaries. The companies that generate the highest direct premiums are American Income, Globe Life & Accident, and Liberty National. First year premiums have generally increased at the Globe Life Group over the past five year period due to the group's focus on top line growth. Higher operating expenses for the Globe Life Group in recent years are due to higher salaries and wages, other employee welfare, advertising, postage, IT, information security, sundry general expenses and direct

Operating Performance (Continued...)

mail expenses. However, the Globe Life Group continues to benefit from the implementation of its low-cost production platform and its efficient administration of product offerings. Individual and group life earnings have benefited from higher renewal premium persistency and generally stable mortality excluding COVID experience. Despite higher expenses, AM Best expects the Globe Life Group's net operating earnings and premium revenue to be driven by agent growth and referral program along with Globe Life's increased usage of electronic media to generate sales going forward.

	Year End - December 31				
Net Operating Gain By LOB USD (000)	**2024**	**2023**	**2022**	**2021**	**2020**
Individual Life	467,402	343,403	262,773	234,960	245,485
Group Life	42,517	16,781	-14,456	-41,159	6,179
Individual Annuities	61,978	14,698	18,496	21,182	22,578
Accident & Health	103,435	118,487	148,737	134,668	165,884
Other Lines of Business	24,256	24,199	25,476	23,516	22,778
Total	699,589	517,568	441,025	373,167	462,904

Source: BestLink® - Best's Financial Suite

	Year End - December 31				
Accident & Health Statistics	**2024**	**2023**	**2022**	**2021**	**2020**
Net Premiums Written USD (000)	1,439,664	1,342,368	1,301,187	1,225,527	1,159,816
Net Premiums Earned USD (000)	1,437,795	1,342,012	1,304,976	1,222,084	1,162,330
Claims and Cost Containment Ratio (%)	66.7	66.0	64.1	64.6	61.2
Expense Ratio (%)	32.2	31.4	30.2	30.2	29.9
Combined Ratio (%)	98.9	97.4	94.3	94.8	91.1
Underwriting Results USD (000)	15,522	34,679	75,428	62,511	103,728

Source: BestLink® - Best's Financial Suite

Business Profile

The Globe Life Group is the sole contributor of life insurance products for Globe Life Inc. The group consists of Globe Life And Accident Insurance Company (Globe Life), American Income Life Insurance Company (American Income), its New York subsidiary company, National Income Life Insurance Company (National Income), Liberty National Life Insurance Company (Liberty National), United American Insurance Company (United American), its New York subsidiary company, Globe Life Insurance Company of New York (GLNY) and Family Heritage Life Insurance Company of America (Family Heritage). These companies primarily sell term life and whole life insurance products, as well as supplemental health insurance. Policies are sold using Globe Life's direct to consumer marketing methods, and through American Income, Liberty National and Family Heritage's career agency distribution channels. American Income utilizes sponsored marketing programs including local labor unions, credit unions and other similar associations. Marketing to these types of associations has helped the Globe Life Group generate sales leads for its career agents and subsequently build its customer base.

In 2024, nearly 70% of Globe’s direct premium written (DPW) is comprised of individual and group life insurance and about 30% is attributable to individual and group accident and health insurance. Individual annuities comprise less than 1% of DPW. Individual and group health premiums have generally increased with some fluctuations in recent years. Medicare Supplement sales have increased. Despite the emphasis on marketing life products, the members of the Globe Life Group continue to write a significant amount of individual accident and health insurance premium each of past five years.

Globe Life generates a significant amount of its term life, whole life and supplemental health product sales via direct to consumer marketing. The company remains focused on marketing low face amount life insurance products to juveniles and adults. In addition to marketing through direct mailings and insert media, Globe Life also uses electronic media to promote its products. Sales within the company have historically increased due to greater usage of electronic media. However, sales have fluctuated in more recent periods due to a focus on increasing profitability and COVID-19. A.M. Best notes that an increasing percentage of direct to consumer response sales now come from electronic media. In addition, direct to consumer sales has decreased in recent years due to a focus on more high margin, low volume business within the segment. The majority of new sales come from the Internet groups and call centers. Globe Life has extended its partnership with the Texas Rangers through 2048 by signing a naming rights agreement which has generated increased brand awareness.

Business Profile (Continued...)

Globe Life actively markets to potential customers by soliciting previous respondents (who have a higher probability of purchasing products) and also solicits add-on product sales to current policyholders through premium notices. In addition to its own product sales, Globe Life's direct to consumer expertise is utilized to generate sales leads for other agencies with Globe Life Inc., and to help recruit new agents for the other companies within Globe Life Group.

Globe Life specializes in direct to consumer sales, while American Income and National Income market term and whole life insurance products and limited-benefit accident and health insurance using an exclusive agency force. American Income and National Income sell business through sponsored marketing programs that includes labor union locals, credit unions and other associations which provide career agents with sales leads. American Income has fostered close relationships with union officials, which facilitates the marketing of its products to moderate income wage earners through its exclusive agency force. In addition, National Income has established itself as the leading life insurance provider within Globe Life Inc. in the state of New York, with the company having SGA offices located throughout the state. American Income has offices within the United States in addition to having branches in Canada and New Zealand.

American Income and National Income focus on quality service, easily understood products, and the promotion of brotherhood affinity. These qualities provide the companies with competitive advantages that have led to strong growth in both companies' niche markets. The majority of American Income's and National Income's business is generated from labor union members, referrals, credit union members, and associations.

The Globe Life Group continues to focus on agent recruiting and retention, while improving productivity. As a result, there has been a strong increase in new agents over the past several years within the Globe Life Group. In 2021, Globe Life acquired Beazley Benefits, and agency distribution channel.

American Income has been more successful in growing its agent base than any of the other Globe Inc. subsidiaries. In addition to agency growth, American Income has centralized the lead generation process in its home office. A sales approach more focused on the needs of the customer along with a Laptop Sales Presentation for agents has also bolstered new sales growth.

Liberty National maintains the most diversified product portfolio out of any of the other Globe Life Group subsidiaries. The company continues to be more of a life company with just over one-third of direct premium now from its health products. Senior management within Liberty National have focused on agent growth, training and retention. The company has added new offices in recent years outside its core southeastern area including urban areas. Management is seeking to enter more densely populated areas with access to more potential growth. The company has not experienced any material litigation in recent years. Liberty National has some geographic concentration in the South and Southeast regions. Management is looking to improve geographical diversification with opening of new agencies. Additionally, the company has experienced strong agent growth over the past several years.

Family Heritage is a niche writer of supplemental accident and health insurance products. The company is among the leaders in the sale of individual cancer insurance products and employs a captive distribution system serving an under-penetrated market. Family Heritage’s sale to Globe Life Inc. has helped the company grow considerably, especially with agent training in addition to geographical expansion. Globe Life Inc. has provided Family Heritage the training tools necessary to better retain those agents. This has led to an increase in agent count over the past several years. Family Heritage ended 2024 with approximately 1,500 total agents, an approximately 10% increase from previous year. There has been a slight improvement in product sales diversification, although Family Heritage’s cancer products continue to make up a majority of its direct premium. Several new accident and health products were introduced in recent years. Globe also duplicated a juvenile life product, first developed within Globe Life, and started selling it several years ago. As a result, direct premiums within the Life Division have generally increased over the past five years. The company also maintains good geographical diversification of sales.

United American Group remains the primary providers of health insurance products for Globe Life Inc. United American is the sole Globe Life division to utilize independent agents and the segment remains one of the more competitive areas for Globe Life as a whole. Despite not being able to generate consistent sales growth, Medicare supplement sales have been strong in recent periods and the Group continues to generate consistent earnings in this core line of business. United American is one of the top Medicare supplement writers. No new products have been introduced in recent periods so premium revenue growth will be dependent on its Medicare supplement products for the foreseeable future.

Business Profile (Continued...)

2024 By Line Business	Direct Premiums Written		Reinsurance Premiums Assumed		Reinsurance Premiums Ceded		Net Premiums Written		Business Retention
	USD (000)	%	USD (000)	%	USD (000)	%	USD (000)	%	%
Individual Life	2,758,552	59.7	482,315	729.9	634,761	97.3	2,606,106	64.6	80.4
Group Life	442,446	9.6	32,581	49.3	36,646	5.6	438,381	10.9	92.3
Individual Annuities	12,209	0.3	-472,108	-99.9	-9,752	-1.5	-450,148	-11.2	97.9
Accident & Health	1,406,550	30.4	23,294	35.3	-9,259	-1.4	1,439,103	35.7	100.6
Total	4,619,757	100.0	66,082	100.0	652,397	100.0	4,033,442	100.0	86.1

Source: BestLink® - Best's Financial Suite

Geographic Breakdown by Direct Premiums Written and Deposit-Type Contracts USD (000)	Year End - December 31				
	2024	2023	2022	2021	2020
Florida	542,944	507,851	488,153	461,408	417,387
Texas	375,665	351,024	334,593	320,049	290,954
California	324,821	305,368	289,989	274,665	255,957
Alabama	244,658	228,656	215,845	213,234	208,422
Georgia	219,231	213,229	205,345	199,487	187,739
Top 5 States	1,707,319	1,606,129	1,533,924	1,468,844	1,360,458
All Other	2,927,935	2,802,036	2,723,835	2,634,206	2,462,215
Total	4,635,254	4,408,165	4,257,759	4,103,050	3,822,673
Geographic Concentration Index	0.04	...	...	...	...

Source: BestLink® - Best's Financial Suite

Enterprise Risk Management

Globe Life Inc.'s formal ERM plan promotes a strong risk culture and governance, ongoing discipline and risk identification and regular reporting to the group's senior management team and board of directors. Additionally, the organization holds quarterly risk management meetings, headed by its CRO and members of the senior management team, in which the major risks to Globe Life Inc. are identified and discussed. Globe Life Inc. continues to enhance its integrated risk management framework so that management's decision making process fully incorporates potential risks, thus satisfying Own Risk and Solvency Assessment (ORSA) requirements.

The ERM program of Globe Life continues to evolve with the growth of the formation of the Liaison program which is made up of members at varying levels throughout the organization and an expanded risk assessment that captures more risks.

Reinsurance Summary

The Globe Life Group maintains reinsurance agreements with a limited number of life insurance companies. These reinsurance treaties include coinsurance, yearly renewable term and other contracts. The subsidiaries within the Globe Life Group cede only a modest amount of its life insurance business. Current retention limits for new business written on ordinary life insurance range up to $500,000 per life. United American Insurance Company and Liberty National Life Insurance Company previously had agreements in place to cede annuity business to affiliates, including American Income Life Insurance Company and Globe Life And Accident Insurance Company. Those agreements were recaptured in 2024, and United American and Liberty National ceded the majority of their fixed annuity business to an unaffiliated insurer, Heritage Life Insurance Company, with an effective date of November 1, 2024.

American Income Life Insurance Company cedes and United American Insurance Company assumes 90% of new business for policies, issued during Q3 and Q4 of 2013 only, under a modified coinsurance arrangement. Globe Life & Accident Insurance Company cedes and Liberty National Life Insurance Company assumes 90% of all policies issued in 2012. The agreement was amended beginning 2013 to a 30% coinsurance of all policies issued in 2013 and thereafter. American Income Life Insurance Company cedes and Liberty National Life Insurance Company assumes 50% of life policies from January 1, 2014 through September 30, 2021, under a coinsurance agreement, which is now closed to new issues after September 30, 2021. Effective October 1, 2021, American Income Life Insurance

Enterprise Risk Management (Continued...)

Company entered into a combined coinsurance with funds withheld and yearly renewable term reinsurance agreement with New Reinsurance Company Ltd, a subsidiary of Munich Re, to cede an existing block of life business with issue years of 2010 through 2012. Globe Life & Accident Life Insurance Company and Liberty National Life Insurance Company cede policies with certain plan codes and TMK Re (Bermuda offshore captive) assumes the policies with these certain plan codes. This agreement was established in 2000. Currently, there is no new business being ceded or assumed under this agreement. Effective January 1, 2025, American Income entered into a funds withheld coinsurance agreement with an unaffiliated and authorized reinsurer, Hanover Life Reassurance Company of America (Bermuda) Ltd., involving an existing block of business. The initial reserves ceded of approximately $466M were offset by $458M of ceding commissions and funds withheld of $8M.

Environmental, Social & Governance

Globe Life’s ESG group reports to the ERM committee and is responsible for climate risks and the potential impacts to the organization. AM Best considers Globe Life’s exposure to material environmental, social and corporate governance (ESG) risks to be low. However, as a primarily life and health company, Globe Life’s business profile is exposed to changing demographics which can potentially impact mortality and morbidity assumptions.

Financial Statements

Balance Sheet	6-Months 2025 USD (000)	%	Year End - December 31 2024 USD (000)	%	2023 USD (000)	%
Cash and Short Term Investments	75,882	0.3	177,212	0.8	267,610	1.2
Bonds	18,228,182	76.6	18,194,117	77.5	18,483,120	80.0
Preferred and Common Stock	385,307	1.6	386,737	1.6	374,437	1.6
Other Invested Assets	3,408,514	14.3	3,111,492	13.2	2,556,049	11.1
Total Cash and Invested Assets	22,097,886	92.9	21,869,557	93.1	21,681,216	93.9
Premium Balances	514,684	2.2	547,020	2.3	575,855	2.5
Net Deferred Tax Asset	225,688	0.9	248,599	1.1	241,850	1.0
Other Assets	946,968	4.0	820,359	3.5	602,999	2.6
Total General Account Assets	23,785,226	100.0	23,485,534	100.0	23,101,919	100.0
Total Assets	23,785,226	100.0	23,485,534	100.0	23,101,919	100.0
Net Life Reserves	17,487,436	73.5	17,648,445	75.1	17,796,510	77.0
Net Accident & Health Reserves	2,922,874	12.3	2,815,427	12.0	2,601,547	11.3
Liability for Deposit Contracts	492,142	2.1	468,595	2.0	236,958	1.0
Asset Valuation Reserve	280,010	1.2	260,689	1.1	244,246	1.1
Other Liabilities	1,174,304	4.9	681,823	2.9	673,806	2.9
Total General Account Liabilities	22,356,766	94.0	21,874,979	93.1	21,553,067	93.3
Total Liabilities	22,356,766	94.0	21,874,979	93.1	21,553,067	93.3
Capital Stock	63,099	0.3	63,099	0.3	63,099	0.3
Paid-In and Contributed Surplus	672,323	2.8	672,323	2.9	666,324	2.9
Unassigned Surplus	693,037	2.9	875,134	3.7	819,430	3.5
Total Capital and Surplus	1,428,459	6.0	1,610,555	6.9	1,548,853	6.7
Total Liabilities, Capital and Surplus	23,785,226	100.0	23,485,534	100.0	23,101,919	100.0

Source: BestLink® - Best's Financial Suite

Income Statement USD (000)	6-Months 2025	6-Months 2024	Year End - December 31 2024	2023
Net Premiums Earned:				
Individual Life	...	...	2,606,106	2,542,645
Group Life	...	...	438,381	435,479
Individual Annuities	...	...	-450,148	14,106
Accident & Health	...	...	1,439,103	1,342,319
Total Net Premiums Earned	1,669,099	2,262,660	4,033,442	4,334,549
Net Investment Income	525,486	532,098	1,074,984	990,603
Reserve Adjustments on Reinsurance Ceded	-81,575	-57,838	-126,776	-121,379
Other Income	418,777	85,790	195,478	195,026
Total Revenue	2,531,788	2,822,710	5,177,128	5,398,799
Policy Benefits	989,570	1,472,555	2,200,586	2,863,700
Commissions and Expense Allowances	592,195	570,311	1,136,988	1,062,925
Insurance and Other Expense	458,990	465,167	956,781	838,189
Dividends to Policyholders	10	21	77	74
Pre-Tax Net Operating Gain	491,023	314,657	882,696	633,910
Income Taxes Incurred	163,217	69,617	183,107	116,343
Net Operating Gain	327,806	245,040	699,589	517,568
Net Realized Capital Gains	1,480	-501	-3,867	-82,616
Net Income	329,285	244,539	695,722	434,952

Source: BestLink® - Best's Financial Suite

Statement of Operating Cash Flows USD (000)	6-Months 2025	6-Months 2024	Year End - December 31 2024	Year End - December 31 2023
Net Premiums Collected	1,908,386	2,277,729	4,052,748	4,357,393
Net Investment Income	544,391	542,718	1,107,484	1,021,442
Other Income Received	190,504	82,865	191,778	180,750
Total Collected Operating Revenue	2,643,281	2,903,312	5,352,010	5,559,585
Net Benefits and Loss Related Payments	1,099,107	1,130,416	2,229,282	2,209,756
Commissions and Other Expenses Paid	1,058,542	1,017,347	2,023,630	1,898,879
Dividends to Policyholders	10	17	74	70
Income Taxes Paid (Recovered)	34,819	69,492	179,848	122,102
Total Paid Expenses and Transfers	2,192,477	2,217,272	4,432,834	4,230,809
Net Operating Cash Flow	450,804	686,039	919,176	1,328,777

Source: BestLink® - Best's Financial Suite

Related Methodology and Criteria

AM Best's Stress Liquidity Ratio for US Life Insurers, 05/09/2024

Best's Credit Rating Methodology, 08/29/2024

Available Capital and Insurance Holding Company Analysis, 09/18/2025

Evaluating US Surplus Notes, 06/13/2024

Scoring and Assessing Innovation, 02/20/2025

Understanding BCAR for US and Canadian Life/Health Insurers, 10/09/2025